34. State the concept of super multiplier.

35. Specify the limitations of the multiplier.

Part D

Answer the following questions in a page

36. Explain Keynes psychological law of consumption function with diagram.

37. Briefly explain the subjective and objective factors of consumption function?

38. Illustrate the working of Multiplier.

39. Explain the operation of the Accelerator.

40. What are the differences between MEC and MEI

ACTIVITY

How do you calculate MPC from consumption function?

References

Asis Banerjee &DebashisMazumdar - Principles of Economics – ABS publishing House.

Edward Shapiro – Macro Economic Analysis – Galgotia publication Pvt. Ltd.

Maria John Kennedy.M. - Macro Economic Theory (2013) - PHI learning Pvt. Ltd.

Siddiqui.S.A. &Siddiqui.A.S. – Introductory Macroeconomics – Laxmipublication Pvt. Ltd.

12-Economics-Chapter_4.indd 75 23-12-2022 14:43:06